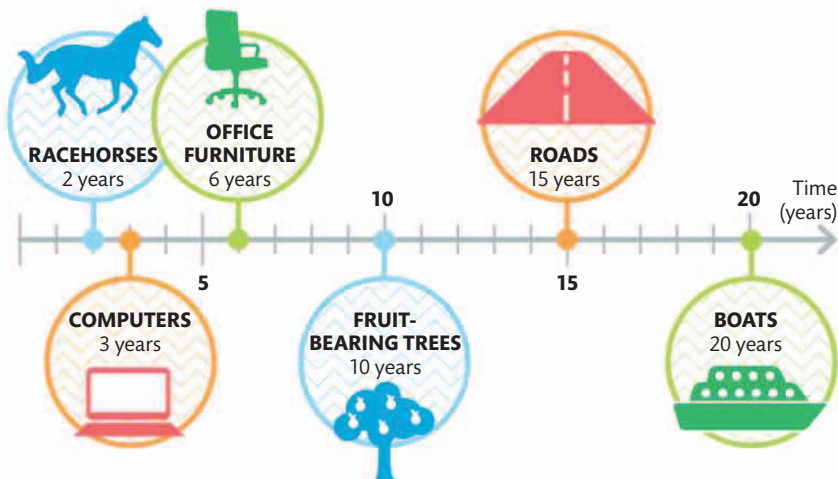
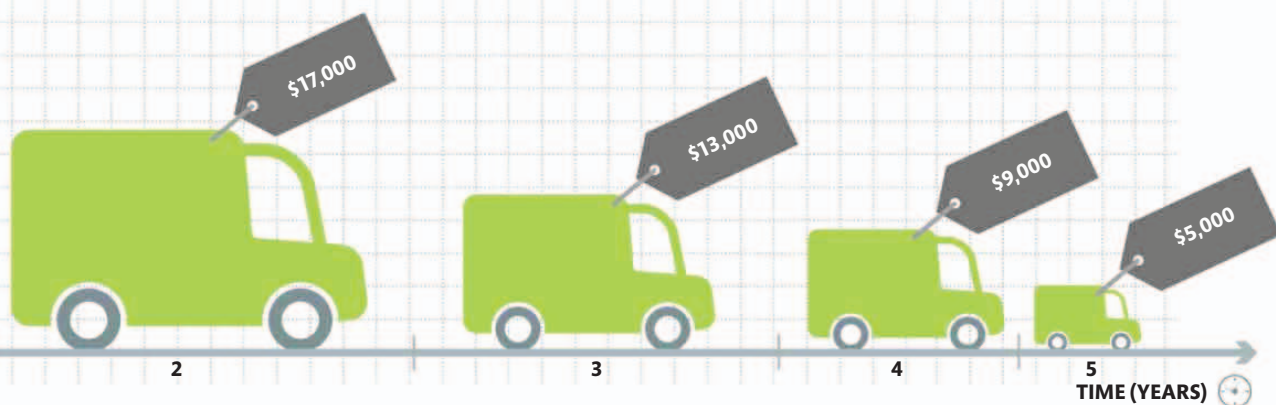


TYPICAL LIFE OF FIXED ASSETS

Tax authorities often specify the typical useful (economic) life of a particular asset. This helps to standardize depreciation, and to eliminate uncertainty about value and the number of years over which an asset can be depreciated.



60%
the value the
average car
loses after
three years



Year 2 After the second year, the value has depreciated by another \$4,000. The van will lose an equal amount of value each year for the next three years of its useful economic life.

Year 3 At the end of the third year, the van has depreciated by another \$4,000, and its book value is \$13,000, although its actual value may be more or less.

Year 4 The van has depreciated by \$4,000, to \$9,000, at the end of four years of life.

Year 5 By the end of year five, the van is valued at only \$5,000—its scrap value.